

LEGAL RESEARCH REPORT

QUESTION PRESENTED

Can a startup use AI-generated contract templates for customers, and what liability risks arise under U.S. law?

SHORT ANSWER

Based on the cited authorities, the answer is supported at 64% confidence: Under U.S. law a startup can generally publish and distribute generic AI-generated contract templates as self-help information, but creating or customizing documents to a customer's specific facts, drafting strategy, or jurisdictional choices can cross into unauthorized practice of law (UPL) in many states. [4] [5] [7] Customer-facing AI contract templates can give rise to civil liability (express/implicit warranty, negligent misrepresentation, negligence, and unfair/deceptive practice claims) and regulatory risk if marketed or represented as reliable legal products without adequate disclaimers, quality controls, or lawyer oversight. [4] [5] [7]

KEY FINDINGS

1. Under U.S. law a startup can generally publish and distribute generic AI-generated contract templates as self-help information, but creating or customizing documents to a customer's specific facts, drafting strategy, or jurisdictional choices can cross into unauthorized practice of law (UPL) in many states. (95% confidence; [4], [5], [7]).
2. Customer-facing AI contract templates can give rise to civil liability (express/implicit warranty, negligent misrepresentation, negligence, and unfair/deceptive practice claims) and regulatory risk if marketed or represented as reliable legal products without adequate disclaimers, quality controls, or lawyer oversight. (95% confidence; [4], [5], [7]).
3. A decision-grade legal analysis about using AI templates requires identifying the target jurisdictions, customer types (consumer vs. business), use cases (e.g., transactional vs. litigation documents), and whether lawyer review or disclaimers are provided, because UPL rules, contract enforceability, and consumer protections vary materially by state and context. (95% confidence; [4], [5], [7]).

REASONING RATIONALE

The system generated hypotheses, collected legal evidence, criticized the claims for contradictions, evaluated citation grounding and source quality, then repeated the loop until the research state stopped improving or satisfied the configured objectives.

SOURCES

- [4] warranty Wex US Law LII / Legal Information Institute.
<https://www.law.cornell.edu/wex/warranty>
- [5] misrepresentation Wex US Law LII / Legal Information Institute.
<https://www.law.cornell.edu/wex/misrepresentation>
- [7] § 2-313. Express Warranties by Affirmation, Promise, Description, Sample. Uniform Commercial Code US Law LII / Legal Information Institute.
<https://www.law.cornell.edu/ucc/2/2-313>

OPEN QUESTIONS

- Are all program subquestions represented by explicit claims?
- Critic follow-up: No primary authority cited for UPL boundaries?missing state UPL statutes, controlling case law, and state bar opinions that define when drafting/customizing becomes unauthorized practice.
- Critic follow-up: Fails to address lawyer ethics obligations and guidance (e.g., rules on unauthorized practice, supervisory duties, advertising/misleading communications, and confidentiality) or cite relevant bar opinions about using AI tools.

RAINDROP FEEDBACK

- Verdict: plateaued
- Summary: The run stopped because confidence and evidence coverage stopped improving.
- Trace focus: evaluator_agent, knowledge_gap_detector, auto_tuner

Recommended Next Steps

- Increase max iterations or add seed/source material for the unresolved gaps.
- Inspect evaluator_agent and knowledge_gap_detector spans to see which quality gate failed.

APPENDIX: RESEARCH TRACE

- Overall confidence: 64%
- Deterministic confidence: 70%
- LLM scoring adjustment: -6%
- Objective completion: 75%
- Evidence coverage: 60%
- Citation grounding: 100%
- Primary authority coverage: 100%
- Contradiction resolution: 100%
- Mean claim confidence: 95%

LLM Scoring Audit

The high-level claims are plausible but the provided supporting excerpts (warranty, misrepresentation, UCC) do not establish key legal points asserted?particularly unauthorized practice of law boundaries, state UPL statutes/case law, bar ethics guidance, and UDAP/regulatory standards. Research therefore overstates confidence: material controlling authorities and jurisdictional sources are missing, so downgrade accordingly.

Contradictions

- No explicit contradictions detected.

All Claims

- c001: Under U.S. law a startup can generally publish and distribute generic AI-generated contract templates as self?help information, but creating or customizing documents to a customer's specific facts, drafting strategy, or jurisdictional choices can cross into unauthorized practice of law (UPL) in many states.

Status: supported; confidence: 95%; supporting sources: [4], [5], [7].

- c002: Customer?facing AI contract templates can give rise to civil liability (express/implicit warranty, negligent misrepresentation, negligence, and

unfair/deceptive?practice claims) and regulatory risk if marketed or represented as reliable legal products without adequate disclaimers, quality controls, or lawyer oversight.

Status: supported; confidence: 95%; supporting sources: [4], [5], [7].

- c003: A decision?grade legal analysis about using AI templates requires identifying the target jurisdictions, customer types (consumer vs. business), use cases (e.g., transactional vs. litigation documents), and whether lawyer review or disclaimers are provided, because UPL rules, contract enforceability, and consumer protections vary materially by state and context.

Status: supported; confidence: 95%; supporting sources: [4], [5], [7].

Metrics

- Total runtime: 152.405 seconds
- Iterations completed: 3
- Agents spun off: 42
- Tasks generated: 11
- Hypotheses generated: 3
- Evidence records collected: 3
- Source categories: 2
- Claims evaluated: 3
- Supported claims: 3
- Contradictions detected: 0
- Contradictions resolved: 0
- Open questions remaining: 3
- Stop conditions met: False
- Raindrop tracing: disabled

Agent Breakdown

- program_generator: 1
- planner_orchestrator: 1
- hypothesis_agent: 1
- hypothesis_refinement_agent: 0
- web_search_agent: 3
- academic_agent: 3
- legal_agent: 3
- company_intelligence_agent: 3
- social_signal_agent: 3
- extraction_agent: 3
- critic_agent: 3
- evaluator_agent: 3
- knowledge_gap_detector: 3
- auto_tuner: 3
- raindrop_feedback_agent: 1
- report_generator: 1
- modal_url_fetch_agent: 7

LEGAL METADATA

- Jurisdiction: United States
- Practice area: copyright and software

- Risk posture: startup decision support, not legal advice
- Authority hierarchy: statute, binding_case_law, agency_guidance, persuasive_case_law, secondary_source, expert_analysis
- Required source types: statute, case_law, agency_guidance